

Daily Economic Briefing

Monday 21 September 2026 | Window: Thu 17 Sept 20:00 ET – Sun 20 Sept 20:00 ET (session: Fri 18 Sept 2026) | Research cutoff 20:00 ET Sun 20 Sept 2026 | Edition 24

Assumptions, corrections and status this edition

- Correction:** Thursday 17 Sept’s WTI settle is now confirmed at \$101.91 (not the \$101.09 published in edition 23) — Friday’s reported -1.58% move to \$100.30 reconciles cleanly against the corrected figure and is used below.^[36]
- Resolved open thread:** the Bank of Japan hiked 25bp to approx. 1.25% on 18 Sept, but on a 7-2 split vote — not the unanimous 52/52-survey consensus flagged last edition. The yen weakened despite the hike.^[18]
- LME’s direct fetch failed for a third consecutive edition (Wed/Thu/Fri) — treating this as a durable pattern and defaulting to the Westmetall.com fallback rather than re-attempting lme.com.^[38]
- Berkshire Hathaway traded roughly flat (+0.11%) Friday despite Warren Buffett’s chairman handoff to son Howard Buffett — some aggregator snippets claimed a decline; the better-corroborated closing-price figure is used.^{[16][17]}
- GBP/USD and EUR/USD clean single closes remain unavailable for a third straight edition; both are reported as ranges again below.^[39]
- Chart 2 this edition is fresh CFTC positioning data (first update since 8 Sept), per the standing weekend-window convention, placed in Section 5 where it belongs editorially rather than Section 2.

60-second read

- Friday was a quiet, mixed session on the indices (S&P +0.2%, Dow -0.2%, Nasdaq +0.4%) even as most individual stocks fell — a technical backdrop dominated by a record approx. \$7tn in options notional expiring at September’s triple witching (second-largest ever, 60% at the open) and Monday’s quarterly S&P/Nasdaq-100 rebalance, in which SpaceX’s Nasdaq-100 weight jumps to 2.82% from 1.28%.^{[3][1][2]}
- Single-stock dispersion was wide: Xenon Pharmaceuticals -30.7% on a Phase 3 depression-trial safety pause and Nucor -6.1% on a Q3 guidance miss weighed against a memory/AI-adjacent rally (SanDisk +11.0%, Micron +3.9%) and Robinhood +9.1% on a new SEC tokenized-stock exemption.^{[7][9][13][14]}
- The Bank of Japan hiked 25bp to approx. 1.25%, a 31-year high, but the vote split 7-2 — a real surprise against unanimous consensus — and the yen weakened anyway as the dissent clouds the path for further tightening; USD/JPY swung through a wide 155.7-158.1 range.^{[18][19]}
- October FOMC hike odds rebounded to roughly 55% on both Polymarket and Kalshi, a reversal from the sub-50% reads flagged last edition, even as US data kept softening — UMich sentiment fell to 47.8 (second-weakest print on record) and the Conference Board’s LEI slipped again.^{[22][23][26][25]}
- Weekend risk into Monday’s open: an intercepted Houthi missile and drone attack on Riyadh, including an attempted strike on Aramco infrastructure at Yanbu, on Saturday — against a backdrop of a tentative 24 Sept Trump-Xi summit that is reportedly delaying new US tariffs on China.^{[31][27]}

1. Market recap

S&P 500 7,650.50 +0.2%^[3]	Dow Jones 51,682.64 -0.2%^[3]	Nasdaq Comp. 26,522.55 +0.4%^[3]	Russell 2000 2,860.40 -0.5%^[3]	10-yr Treasury 5.00% +7bp^[3]	VIX 14.81 -4.08%^[40]
Gold (spot) \$4,382.38 +0.85%^[33]			WTI crude \$100.30 -1.58%^[35]		

Indexes closed little-changed Friday — S&P 500 7,650.50 (+0.2%), Dow 51,682.64 (-0.2%), Nasdaq 26,522.55 (+0.4%), Russell 2000 2,860.40 (-0.5%) — but AP’s own wrap flagged that the majority of individual stocks actually fell as the 10-year Treasury yield climbed back to 5.00%, corroborated independently by TheStreet’s same-day wrap.^{[3][4]} On the week, the S&P eked out a marginal loss (-0.1%), the Dow fell a third straight week (-1.7%), the Nasdaq rose (+0.7%) and the Russell fell (-1.5%), a week bookended by Wednesday’s Fed hike and Thursday’s post-decision relief rally.^[3] Friday’s technical backdrop was unusually heavy: approx. \$7tn of US options notional expired at the September triple witching, the second-largest on record with 60% of the expiry concentrated at the open, and Citadel Securities framed it as a “potential reset in the market’s technical backdrop.”^[1] That flow layers onto Monday’s quarterly index rebalances (S&P 500/100/MidCap 400/SmallCap 600 and Nasdaq-100), with SpaceX’s Nasdaq-100 weight confirmed rising to 2.82% from 1.28% — a passive-flow event reported to require billions of dollars in new index-fund buying.^[2]

2. Equities and earnings

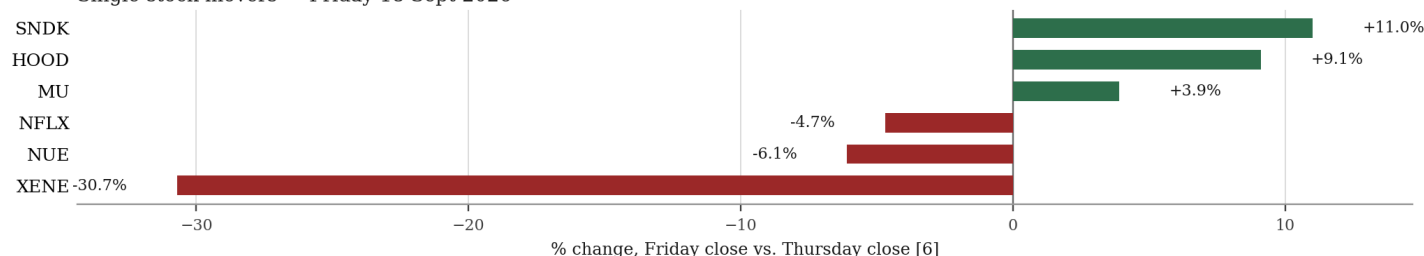
Sector rotation

Technology (XLK +0.82%) led for a second straight session on continued chip/memory strength, with Industrials (XLI +0.44%) the only other sector ETF to close higher. Financials (XLF -0.04%) were roughly flat — still not confirming a full reversal of Wednesday’s post-hike bank losses. Materials and Utilities tied as the laggards (XLB, XLU both -1.42%), with Communication Services (XLC -1.37%, weighed by Netflix) and Real Estate (XLRE -0.95%) also under pressure as the 10-year pushed back toward 5.00%.^[5]

Sector ETF	Chg	Sector ETF	Chg
XLK Technology	+0.82%	XLP Cons. Staples	-0.83%
XLI Industrials	+0.44%	XLRE Real Estate	-0.95%
XLF Financials	-0.04%	XLC Comm. Services	-1.37%
XLE Energy	-0.26%	XLB Materials	-1.42%
XLV Health Care	-0.25%	XLU Utilities	-1.42%
XLY Cons. Discretionary	-0.32%		

Single-stock movers

Single-stock movers — Friday 18 Sept 2026



Ticker	Move	Driver
XENE	-30.7%	Voluntarily paused new-patient enrollment in Phase 3 azetukalner trials for major depressive/bipolar depression after a neuropsychiatric adverse-event signal (disclosed Thu after Thursday's close, continued into Friday's session); Deutsche Bank cut to Hold (PT \$90 → \$46), Baird kept Outperform (PT \$97 → \$90). ^{[7][8]}
NUE	-6.1%	Guided Q3 EPS to \$5.55-\$5.65, a \$5.60 midpoint trailing \$5.99 consensus by approx. 6.5% on cost pressure, despite a record-shipment Q2 (\$10.4bn revenue, +23% y/y). ^{[9][10]}
NFLX	-4.7%	Wells Fargo downgraded to Underweight (PT \$80 → \$57), flagging "worrying" engagement (1.6 hrs/subscriber/day in H1 2026, down approx. 8% adjusted vs. 2023) and a weaker H2 originals slate; a fourth straight down day. ^{[11][12]}
SNDK	+11.0%	Extended the AI/NAND memory-shortage rally; management sees the total NAND market exceeding \$300bn in 2026, roughly triple last year, with demand still outrunning supply. ^{[6][13]}
HOOD	+9.1%	SEC created a five-year conditional "Innovation Exemption" opening a regulatory pathway for tokenized-stock trading venues; a second straight double-digit-adjacent up day (+5% Thursday). ^{[14][15]}
MU	+3.9%	Same memory-shortage theme, a second straight up day after Thursday's +5.5%. ^{[6][13]}

The week's biggest corporate-governance headline drew a surprisingly muted stock reaction: Warren Buffett stepped down as Berkshire Hathaway chairman effective Friday, becoming Chairman Emeritus, with 33-year director Howard Buffett succeeding him (Greg Abel remains CEO, a transition disclosed months earlier). BRK.B closed roughly flat (+0.11% to \$509.77).^{[16][17]} No material S&P 500 or notable mid-cap earnings reports were identified in Friday's pre-market, after-hours, or the weekend window. Auto-dealer weakness carried into Friday (Sonic Automotive continued lower, single-sourced), extending Thursday's sector-wide pressure; Thursday's exact Sonic Automotive move remains unreconciled across sources and is not restated here.

3. Macro, policy and rates

The Bank of Japan hiked its policy rate 25bp to approx. 1.25% on 18 Sept — a 31-year high, effective 24 Sept — confirmed directly against the BoJ's own statement. The vote split 7-2, not the unanimous 52/52-survey consensus: Asada Toichiro and Sato Ayano both preferred holding, judging underlying inflation and wage-price pass-through not yet strong enough to justify a hike; separately, two other board members dissented on the outlook language from the hawkish side. Governor Ueda reiterated the Bank "will continue to raise the policy interest rate" but stressed a data-dependent, case-by-case pace, citing Middle East risk, AI-driven demand and FX moves. The yen weakened despite the hike as the split vote raised doubt about the pace of further tightening.^{[18][19]}

Fed Chair Kevin Warsh and the 16 Sept hike to 3.75%-4.00% were re-confirmed fresh against federalreserve.gov; the next FOMC meeting is confirmed unchanged at 27-28 Oct 2026.^{[20][21]} October hike odds have drifted back up since edition 23's sub-50% reads: Polymarket approx. 55% hike / 45% hold, and Kalshi's implied pricing now approx. 55% hike as well (a Kalshi fetch was rate-limited; the figure is search-cached and its exact timestamp is imprecise) — the two venues have largely converged. Secondary citations put CME FedWatch-implied hike odds around 58-60%, consistent in direction but not independently verifiable; the official page remains unreachable via direct fetch.^{[22][23]} The Bank of England's next decision date is confirmed as Thursday 5 Nov 2026 via the Bank's own MPC calendar.^[24]

US data kept softening: the Conference Board's LEI fell 0.1% in August to 99.5 (fourth month of the six-month lookback still negative on net), with the Board trimming its 2027 GDP forecast to 1.8% from 1.9%; no pre-release consensus figure was available for LEI.^[25] The University of Michigan's final September sentiment index came in at 47.8, down sharply and the second-weakest reading on record (behind only May), against a 51.0 consensus for the preliminary read; 1-year inflation expectations jumped to 4.6%, the highest since June.^[26] On trade, the US is reportedly delaying new "excess capacity" tariffs on China until after a tentative 24 Sept Trump-Xi summit in Washington — a visit China has not yet officially confirmed; separately, a revised US import-ban list on Canadian goods (Section 338, 50% rate) takes effect 29 Sept.^{[27][28]}

4. Commodities and FX

Instrument	Level	Chg	Note
Gold (spot)	\$4,382.38	+0.85%	Kitco PM print approx. 5:13pm ET; day range \$4,360-\$4,440 across timestamps. ^{[33][34]}
Silver (spot)	\$66.13	+1.58%	Same PM print; morning snapshots ran \$1-1.30 higher. ^[33]
Brent crude	\$103.87	-0.9%	Saudi Yanbu export-hub restoration progress eased supply fears. ^[35]
WTI crude	\$100.30	-1.58%	Vs. a corrected Thursday settle of \$101.91 (see correction above). ^{[35][36]}
Nat. gas (NYMEX)	\$2.912/MMBtu	+0.4%	Higher LNG flows offset rising output. ^[37]
Copper (LME cash)	\$14,529/t	+0.83%	lme.com failed a 3rd straight edition (403); Westmetall.com fallback used. ^[38]
DX-Y	approx. 100.2-100.5	roughly flat	No single clean close found; held near multi-week highs. ^[39]
EUR/USD	approx. below 1.15	—	Qualitative only; no exact close located, third straight edition unresolved. ^[39]
GBP/USD	1.3376-1.3392	—	Range only, consistent with "held just below \$1.34." ^[39]

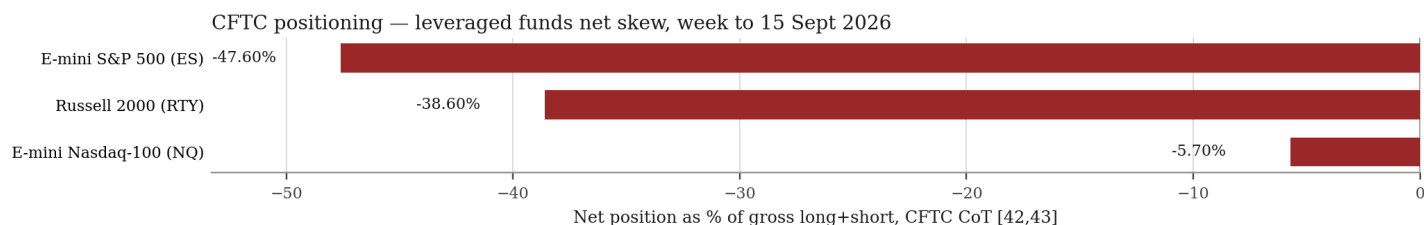
USD/JPY	approx. 156.9 (range 155.7-158.1)	yen weaker	Wide swing on the BoJ's 7-2 split vote; no single confirmed NY close. ^{[19][39]}
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Gold and silver held their weekly gains as Treasury yields eased off Tuesday's cycle highs before climbing back late Friday; both metals' prints varied meaningfully by Kitco timestamp within the session, consistent with the known non-event-day pattern — the approx. 5:13pm ET print is used as primary.^[33] Oil eased again as Saudi Arabia continued restoring the Yanbu Red Sea export hub and loading more crude via Oman, even as Strait of Hormuz traffic stayed suppressed (4 vessels transited Thursday vs. a 10-day average of 16); rising product inventories across the US, Singapore and Europe added supply-side pressure, leaving Brent down approx. 1.4% on the week, its first weekly loss in three.^[35] That backdrop was complicated over the weekend: Iran-backed Houthi forces fired missiles and drones at Riyadh early Saturday, with a second claimed strike attempting to hit Saudi Aramco infrastructure at Yanbu; the Saudi-led coalition reported all interceptions with no casualties or damage, but it is a fresh headline risk for oil heading into Monday.^[31] USD/JPY was the FX story of the window — the yen weakened even as the BoJ hiked, on doubts the 7-2 split vote raises about further tightening, swinging through a genuinely wide 155.7-158.1 range intraday.^[19]

5. Derivatives, volatility and positioning

VIX closed 14.81, down 4.08% from Thursday's 15.44 (computed manually against the prior edition's logged close, since the CBOE feed's own `prev_day_close/price_change_percent` fields again duplicated the day's own print — the same bug flagged for three editions running; every series' `last_trade_time` was individually checked and all were genuinely fresh 16:15-17:00 ET Friday prints).^{[40][41]} The curve stayed in contango (VIX9D 12.27, VIX 14.81, VIX3M 18.24, VIX6M 20.21), with the front end again falling disproportionately faster than spot (VIX9D -8.37% vs. VIX -4.08%) — a continuation of the mechanical unwind as Wednesday's FOMC event keeps rolling out of the shortest-tenor lookback window, not a fresh risk signal, and smaller in magnitude than Thursday's version of the same effect.^[40] VIX options volume stayed elevated at 652,794 contracts (540,186 calls) even as spot VIX fell — continued demand for convex/tail protection.^[41] SpotGamma's desk commentary again returned a 403 on direct fetch; no dealer-gamma figure is reported this edition.

Friday's triple witching saw approx. \$7tn in US options notional expire — the second-largest September expiration on record, with 60% concentrated at the open — per Citadel Securities' Scott Rubner, who framed it as a potential reset of the market's technical backdrop; that layers onto Monday's S&P and Nasdaq-100 quarterly rebalances (SpaceX's Nasdaq-100 weight confirmed rising to 2.82% from 1.28%).^{[1][2]}



Fresh CFTC CoT data (as of Tue 15 Sept, published Fri 18 Sept 3:30pm ET — the first update since 8 Sept) showed leveraged funds trimming net-short index-futures exposure while remaining net short in all three: E-mini S&P 500 shorts covered by approx. 47,961 contracts, Nasdaq-100 minis by approx. 25,485, Russell 2000 minis by approx. 12,944. Normalized against leveraged funds' own gross long+short (open interest for the date was unobtainable), the E-mini S&P is most short-skewed at -47.6%, Russell 2000 -38.6%, Nasdaq-100 least skewed at -5.7%. VIX futures shorts were also trimmed, by approx. 8,244 contracts.^{[42][43]} Funding: SOFR jumped to 3.85% on 17 Sept from 3.62%, cross-confirmed via the New York Fed and FRED; no dated explanation found.^{[44][45]}

6. The day ahead

Sunday-evening futures were modestly firmer (S&P +0.3%, Nasdaq-100 +0.4%) heading into Monday's open — indicative only, not a completed session.^[32]

Date	Event	Consensus / context
Mon 21 Sept	China Loan Prime Rate; S&P 500/100/MidCap/SmallCap and Nasdaq-100 quarterly rebalances take effect	SpaceX's Nasdaq-100 weight rises to 2.82% from 1.28% ^[2]
Tue 22 Sept	US ADP employment; UK/Germany/US bond auctions; Fed speakers Williams, Barkin, Hammack, Paulson	Consensus not found this run ^[29]
Wed 23 Sept	Flash S&P Global PMIs (US, Eurozone, UK, Sept); SARB decision	Consensus not found this run ^[29]
Thu 24 Sept	Jobless claims; Riksbank, SNB, Norges Bank, Banxico decisions; tentative Trump-Xi summit	China hasn't confirmed the summit date ^{[27][29]}
Fri 25 Sept	US durable goods orders (Aug); German GfK consumer confidence (Oct); Atlanta Fed GDPNow Q3 update	Consensus not found this run ^[29]
Tue 29 Sept	Revised US import-ban list on Canadian goods takes effect	Section 338, Tariff Act of 1930, 50% rate ^[28]
Wed 30 Sept	PCE inflation and personal income/spending (Aug)	Next major US inflation print beyond this window ^[30]

Sector setup we take into the week

- Technology led for a second straight session on chip/memory strength (SanDisk, Micron); Monday's SpaceX-driven Nasdaq-100 rebalance flow is a fresh, mechanical tailwind for the index, not a fundamentals signal.
- Rate-sensitive groups (Utilities, Real Estate, Materials, Staples) lagged as the 10-year pushed back to 5.00% — watch whether that yield level holds given the BoJ's hike and softer US confidence data pulling in opposite directions.
- Financials still have not fully reversed Wednesday's post-hike losses even as the broader tape rallied Thursday and held Friday — a divergence worth tracking into next week.
- USD/JPY needs a follow-through read Monday given Friday's wide 155.7-158.1 swing on the BoJ's split vote; a durable break either side of that range would be the cleaner signal than Friday's single-day move.
- Auto-dealer names (AutoNation, Sonic Automotive) remain under multi-session pressure, and leveraged funds are still net short ES/NQ/RTY despite last week's covering — a background bid that could extend if October hike odds keep drifting higher.

Annex A — Data points sought but not verified this edition

- 2-year Treasury yield, Friday 18 Sept close — not obtained by any research pass this edition.
- EUR/USD and GBP/USD clean single closes — third straight edition with only a range or qualitative read available.
- Official CME FedWatch October hike probability — page remains unreachable via direct fetch; secondary citations (approx. 58-60%) not independently verified.
- Named analyst rating changes on Tyson Foods, Southwest, Waste Connections, Ball Corp., Crown Holdings, Accenture and Equinor — only attested by a roundup headline, individual details unconfirmed.
- Seagate, Western Digital and SK Hynix exact Friday % moves — single-sourced to an aggregator, not independently confirmed against a primary close.
- Sonic Automotive's and Asbury Automotive's exact Thursday 17 Sept closes — remain unreconciled across four conflicting sources even after a second research pass; Friday's Asbury move also unverified.
- Cause of Thursday's SOFR jump (3.62% → 3.85%) — the move itself is confirmed via two primary-adjacent sources, but no dated explanation was found.
- Dealer gamma / SpotGamma desk commentary — direct fetch returned 403 again; no figure reported.
- NYSE/Nasdaq closing breadth — not obtainable; Reuters' final wrap continues to drop the block.
- Total open interest for E-mini S&P/Nasdaq-100/Russell futures on the CoT reporting date — unavailable, so chart 2 is normalized against leveraged funds' own gross long+short rather than open interest.
- A precise NY-close print for USD/JPY — only a wide intraday range (155.7-158.1) was corroborated.
- Kalshi's October-hike-odds timestamp — fetch was rate-limited twice; the approx. 55% figure used is search-cached and not confirmed live as of a specific hour.

Annex B — Sources

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- [33] Kitco, PM Report, 18 Sept 2026
- [34] Yahoo Finance, "Gold price today Friday September 18 2026"
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- [44] Federal Reserve Bank of New York, Reference Rates (SOFR)
- [45] FRED, Federal Reserve Bank of St. Louis, SOFR series

Method: every figure traces to a named source in Annex B; where sources disagreed, the better-corroborated figure was used and the conflict disclosed. Nothing estimated or filled from memory — unverifiable items are listed in Annex A. Not investment advice.